Republic of the Philippines
ENERGY REGULATORY COMMISSION
Pasig City

ENERGY REGULATORY COMMISSION
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RESOLUTION NO. 11, Series of 2020

A RESOLUTION AMENDING THE SCOPE OF APPLICATION OF ERC RESOLUTION NO. 21, SERIES OF 2016

WHEREAS, Republic Act No. 9136, otherwise known as the Electric Power Industry Reform Act of 2001 or EPIRA, provides that it is the policy of the state to: (i) ensure the quality, reliability, security, and affordability of the supply of electric power; (ii) ensure full public accountability to achieve greater operational and economic efficiency; and (iii) protect the public interest as it is affected by the services of providers of electric power;

WHEREAS, in order to give life to the said state policies, EPIRA mandated the Energy Regulatory Commission (ERC) to promulgate and enforce the Philippine Grid Code and the Distribution Code which shall include the Performance standards of suppliers considering the nature and function of the entities concerned;

WHEREAS, the Philippine Grid Code (PGC) adopted by the Commission imposes a uniform system of recording and reporting of Grid reliability performance and sets the performance targets for each Grid after due notice and hearing;

WHEREAS, consistent with provisions of EPIRA and PGC, the Commission, on 12 August 2013, issued Resolution No. 17, Series of 2013, entitled *"A Resolution Adopting and Approving the Rules and Procedures to Govern the Monitoring of Reliability Performance of Generating Units and the Transmission Units and the Transmission System"* (ERC Resolution No. 17-2013);

WHEREAS, on 21 January 2016, ERC amended ERC Resolution No. 17-2013, and issued ERC Resolution No. 21, Series of 2016;

WHEREAS, ERC Resolution No. 21, Series of 2016 only covers Generation Companies with generating plants as follows:

> *Section 3. Scope of Application.* These Rules shall apply to all Generation Companies with Generating Plants connected to the Grid, Embedded Generating Plants which have an **aggregated capacity of 20MW and above**, System Operator, Grid Owner or its Concessionaire and Market Operator as defined in these Rules.
>
> *(emphasis supplied)*

WHEREAS, the Philippine Grid Code (PGC) 2016 Edition defines Large Generating Plants as follows:

> **Large Generating Plant**. A Generating Plant with an aggregate capacity equal to or in excess of such capacity, as may be determined later on by the ERC, as follows:
>
> - 20 MW for Luzon Grid;
> - 5MW for Visayas Grid;
> - 5MW for Mindanao Grid.

WHEREAS, Generating Plants that have a capacity of 10 MW and above for Luzon, and 5 MW and above in Visayas are registered in the Wholesale Electricity Spot Market (WESM), because by their capacities, they have an impact on the WESM prices;

WHEREAS, with the forthcoming operation of WESM in Mindanao, in ERC's assessment, the Generating Plants that have the capacity of 5MW and above in Mindanao will also have an impact on prices once WESM becomes operational therein;

WHEREAS, upon review, the Commission deems it necessary to include generating plants with a capacity of 5 MW and above in the Scope of Application of the *Rules and Procedures to Govern the Monitoring of Reliability Performance of Generating Units and Transmission System* under ERC Resolution No. 21, Series of 2016;

NOW, THEREFORE, the Commission hereby **RESOLVES** to **ADOPT** the amendment on the Scope of Application of ERC Resolution No. 21, Series of 2016, as follows:

> *Section 3. Scope of Application.* These Rules shall apply to all Generation Companies with Generating Plants connected to the Grid, including Embedded Generating Plants, which have an **aggregated capacity of 5 MW and above**, System Operator, Grid Owner or its

Concessionaire and Market Operator as defined in these Rules.

This Resolution shall take effect fifteen (15) days after its publication in the Official Gazette or newspaper of general circulation.

Let copies of this Resolution be furnished the University of the Philippines Law Center - Office of the National Administrative Register (UPLC-ONAR), the Department of Energy (DOE), the National Transmission Corporation (TRANSCO), the National Grid Corporation of the Philippines (NGCP), the Philippine Electricity Market Corporation (PEMC), the generation companies, the Philippine Independent Power Producer Association (PIPPA), and all the other parties concerned.

SO ORDERED.

Pasig City, 16 November 2020.

AGNES VST DEVANADERA
Chairperson and CEO

ERC
Office of the Chairperson
AVSTD-2020-12-510-0102

ALEXIS M. LUMBATAN
Commissioner

CATHERINE P. MACEDA
Commissioner

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Commissioner

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